

Funes the Memorious

One would think that Ireneo Funes—who could look at or hear something once and instantly recall every detail at any time in the future—would be the ideal security analyst. “His perception and his memory were infallible. We, at one glance, can perceive three glasses on a table; Funes, all the leaves and tendrils and fruit that make up a grapevine.” One glance at a financial statement would have been sufficient for him to memorize it forever and to recall instantly any item on the report.

Mr. Funes is not available for hiring, since he lived near Montevideo, died in 1889, and was the fictional invention of Jorge Luis Borges, the late, distinguished Argentine writer. However, even if Ireneo had freed himself from those three technical difficulties and applied in person to the Acorn Fund, his perfect memory would still not make him a good analyst. Borges admitted that Funes “was not very capable of thought. To think is to forget differences, generalize, make abstractions. In the teeming world of Funes, there were only details, almost immediate in their presence.”

Funes, paralyzed by his overwhelming knowledge of detail, contributed no useful insights. Real people, with imperfect perceptions, can produce ideas, usually in the form of metaphors. As Jacob Bronowski pointed out in *The Origins of Knowledge and Imagination*, Newton found the law of gravity when he saw the moon as a ball thrown around the earth.

When it comes to investments, we can never learn every detail about a company, as Funes the Memorious